

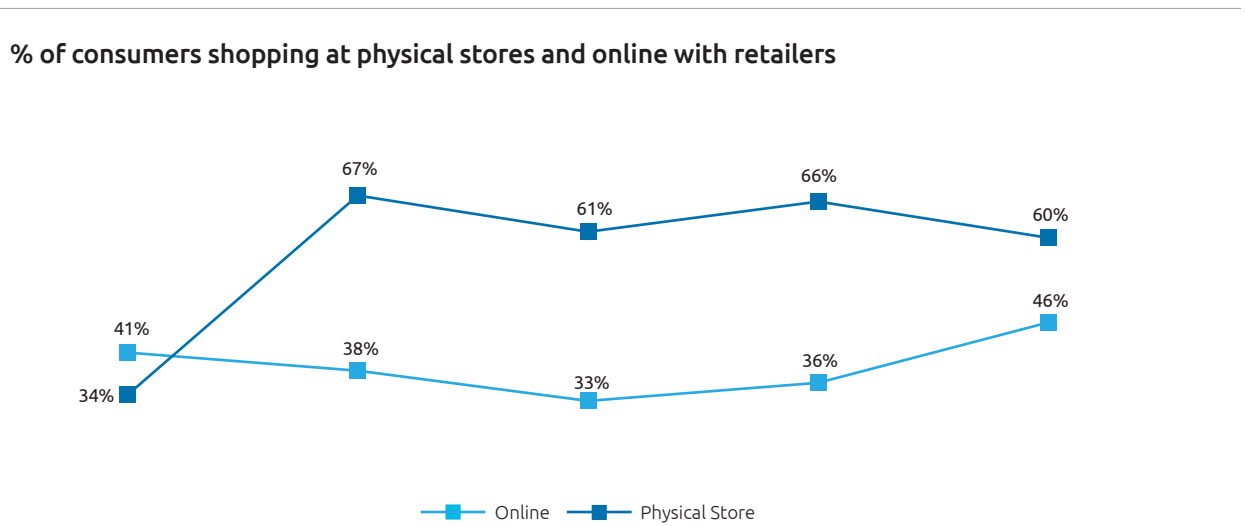
# Online gains ground but in-store shopping retains value

In November 2024, 60% of consumers said they had interacted significantly with physical stores, down from 66% in November 2023. This compared with 46% who shopped online in November 2024, up from 36% in November 2023.

In 2024, the preference for in-store shopping increased with age:

- 63% of boomers (aged 58 and over), down from 72% in November 2023, report high levels of in-store interactions. Meanwhile, only 55% of Gen Z report the same, a percentage that has remained virtually unchanged since November 2023. A high 66% of consumers in the Traditionalists cluster have frequent interaction with physical stores.

**Figure 38.**
Consumers' are integrating more with online stores




Source: Capgemini Research Institute, Consumer Demand survey, October–November 2024, N = 12,000 consumers: October–November 2023, N = 11,681 consumers; Capgemini Research Institute, *What matters to today's consumer*, January 2024; Capgemini Research Institute, *What matters to today's consumer*, January 2023.

Note: The question asked was "Please indicate your frequency of using physical stores when shopping with retailers. Please rate on a scale of 1 to 7, where 1 = very low interaction and 7 = very high interaction."

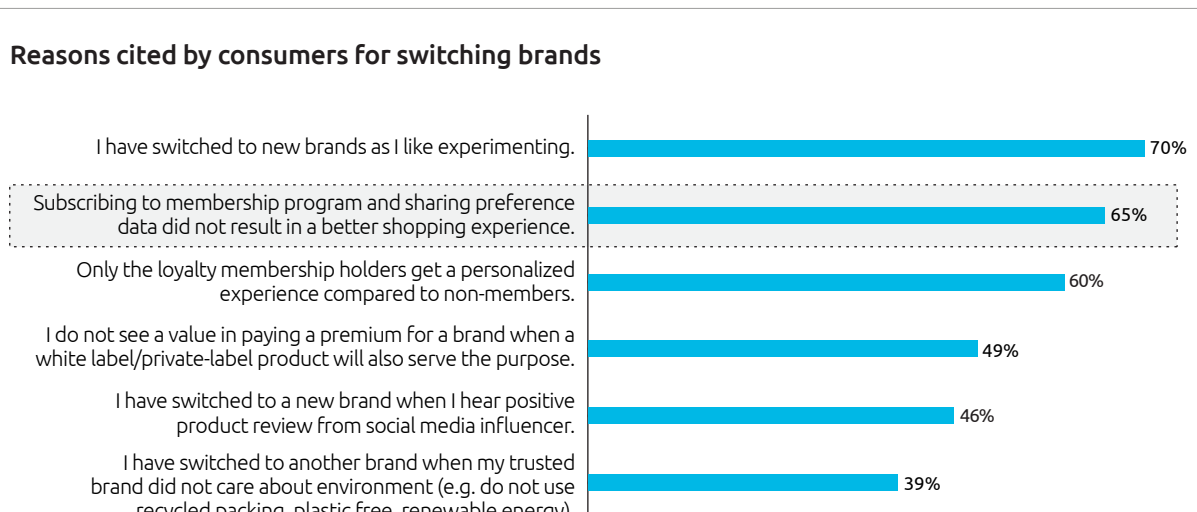
# 04 The grass is greener: Why consumers are switching brands

# Lack of personalization is a key reason to switch brands and retailers

Over half (53%) of consumers switch brands/retailers regularly, despite subscribing to their loyalty programs. Over half (51%) of Gen Z[47] find new brands through TikTok, stressing the platform's influence among the youngest consumers. Gen Z is also the most likely (32%) to have abandoned a brand over a 12-month period.[48]

Gen Z consumers are more open to switching. As many as 70% of consumers globally and 75% of Gen Z consumers have switched as an experiment (figure 39). Another major reason for switching brands, as stated by 70% of Gen Z consumers, was that membership programs and shared preference data failed to result in a better experience. This highlights the key issue of lack of value exchange consumers seek when they sign up for membership program and do not get a better experience. This is also a key reason for consumers to switch retailers, as stated by 64% of consumers.

**Figure 39.**
Experimentation and lack of personalization are major reasons for switching *brands*



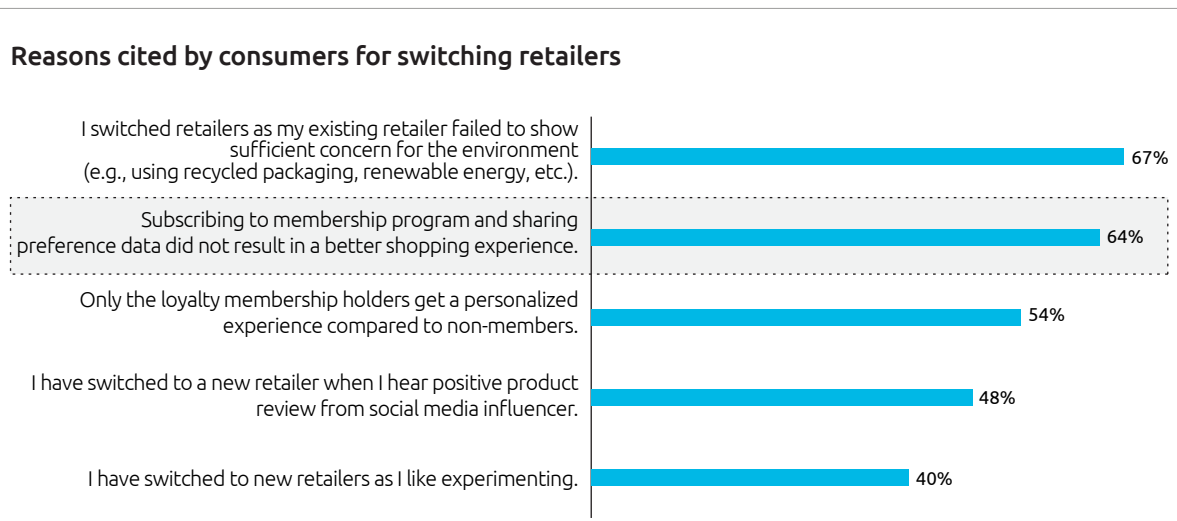

Source: Capgemini Research Institute, Consumer Demand survey, October–November 2024, N = 12,000 consumers.

Lack of sustainability is cited by 67% of consumers as the reason to switch retailers. In the previous year, sustainability was relegated to value among certain demographics; with the cost-of-living crisis, this year, there are some indicators that sustainability is important. For instance, when consumers sign up for membership, it is more value-based and not transactional, leading to a higher focus on sustainability (figure 40).

**53%**

of consumers switch brands/retailers regularly, despite subscribing to their loyalty programs

**Figure 40.**
Sustainability and lack of personalization are major reasons for switching *retailers*



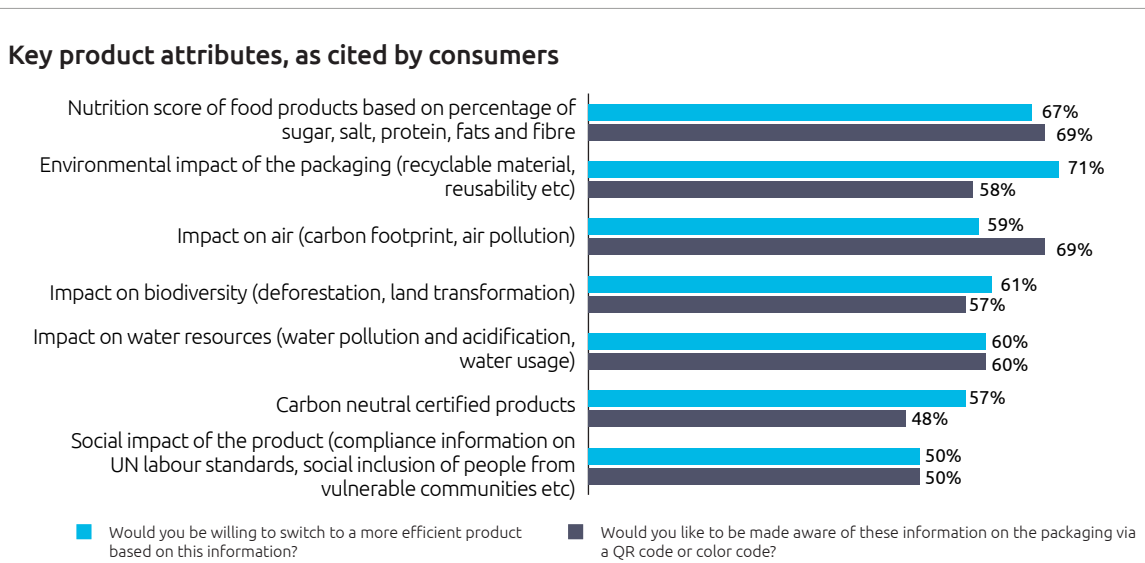

Source: Capgemini Research Institute, Consumer Demand survey, October–November 2024, N = 12,000 consumers.

# Two-thirds of consumers are willing to switch loyalty based on nutrition scores

Nutrition scores of food products are a key factor in brand choice for 76% of millennials, 71% of Gen Z, and 67% of consumers globally. A significant 69% of consumers would like to receive this information via a QR or a color code.

Currently, different nutritional scoring systems are used globally. For instance, Europe uses a color-coded Nutri-Score system that classifies food and drink by nutritional value.[49] Based on this score, the product receives a letter with a corresponding code: from dark green/A (which means healthier choices) to dark orange/E (which means less healthy choices). Eight European countries have adopted this scheme: France, Belgium, Germany, Luxembourg, the Netherlands, Spain, Switzerland, and Portugal.[50] Nutri-Score is yet to gain traction in North America, which uses the Nutrition Facts Label.[51] The UK's front-of-pack nutrition labeling method, with its traffic-light indicators of the levels of fat, saturates, sugars, and salt, is now well established.[52] Such systems help consumers make informed food choices and, consequently, encourage organizations to improve the nutritional content of their products.

**Figure 41.**
Consumers demand nutrition scores




Source: Capgemini Research Institute, Consumer Demand survey, October–November 2024, N = 12,000 consumers.

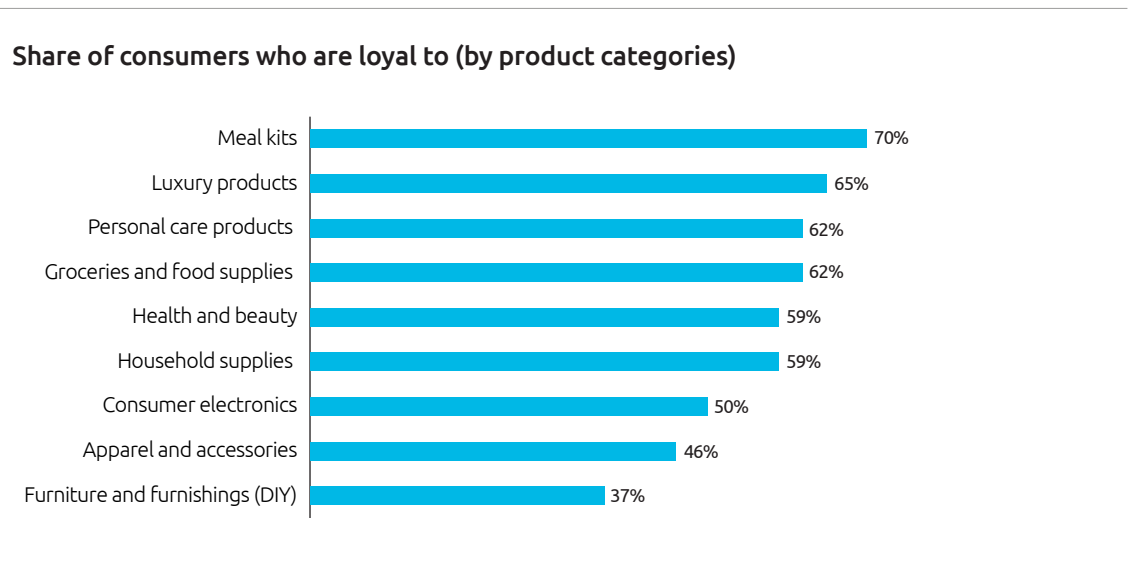
Carbon impact is also a key metric that 69% of consumers would like to be made aware of. Organizations are introducing multiple initiatives:

- Hilton has introduced carbon labeling for its menus in the UK to inform guests of the environmental impact of their choices when dining at participating restaurants.[53]
- Wholesale food giant, UK Sysco GB, has rolled out a carbon measurement and labeling tool called FoodPrint. FoodPrint measures carbon emissions across the value chain "from farm to fork." The organization also considers waste management and packaging choices.[54]

# Last-mile delivery services, e-tailers, and meal kit brands command the highest loyalty across categories

Overall, meal kit brands command the highest loyalty, as stated by 70% of consumers, followed by luxury products at 65%. Among retailers, last-mile delivery services like Instacart, came top, followed by e-tailers (68% and 65%, respectively). There's been a 14% decline in customer loyalty in the US from 2022 to 2023 and 36% of US consumers said they were not loyal to any brand.[55]

**Figure 42.**
Meal kits lead in consumer loyalty

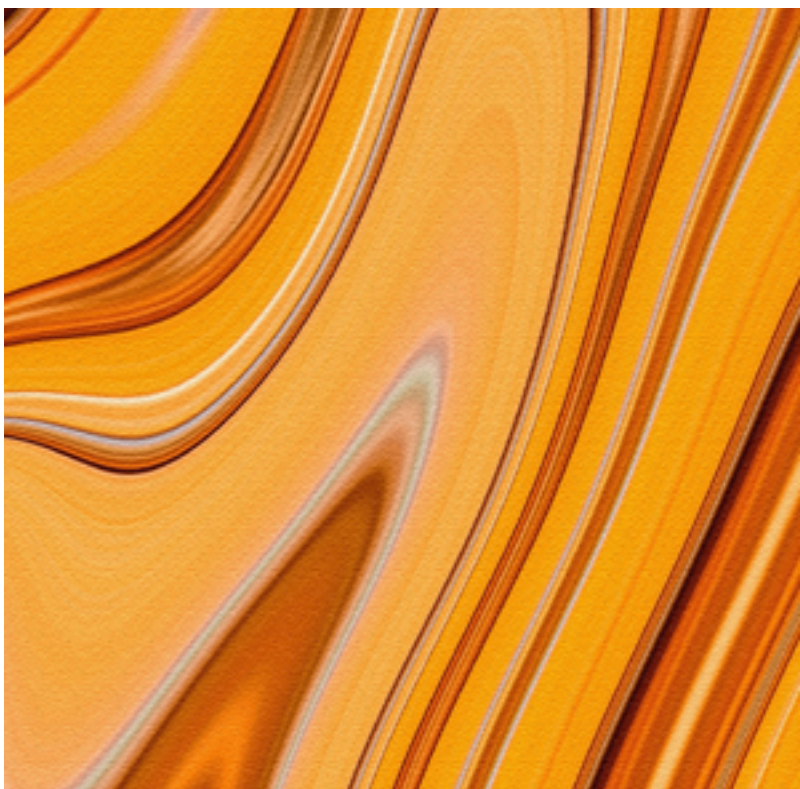


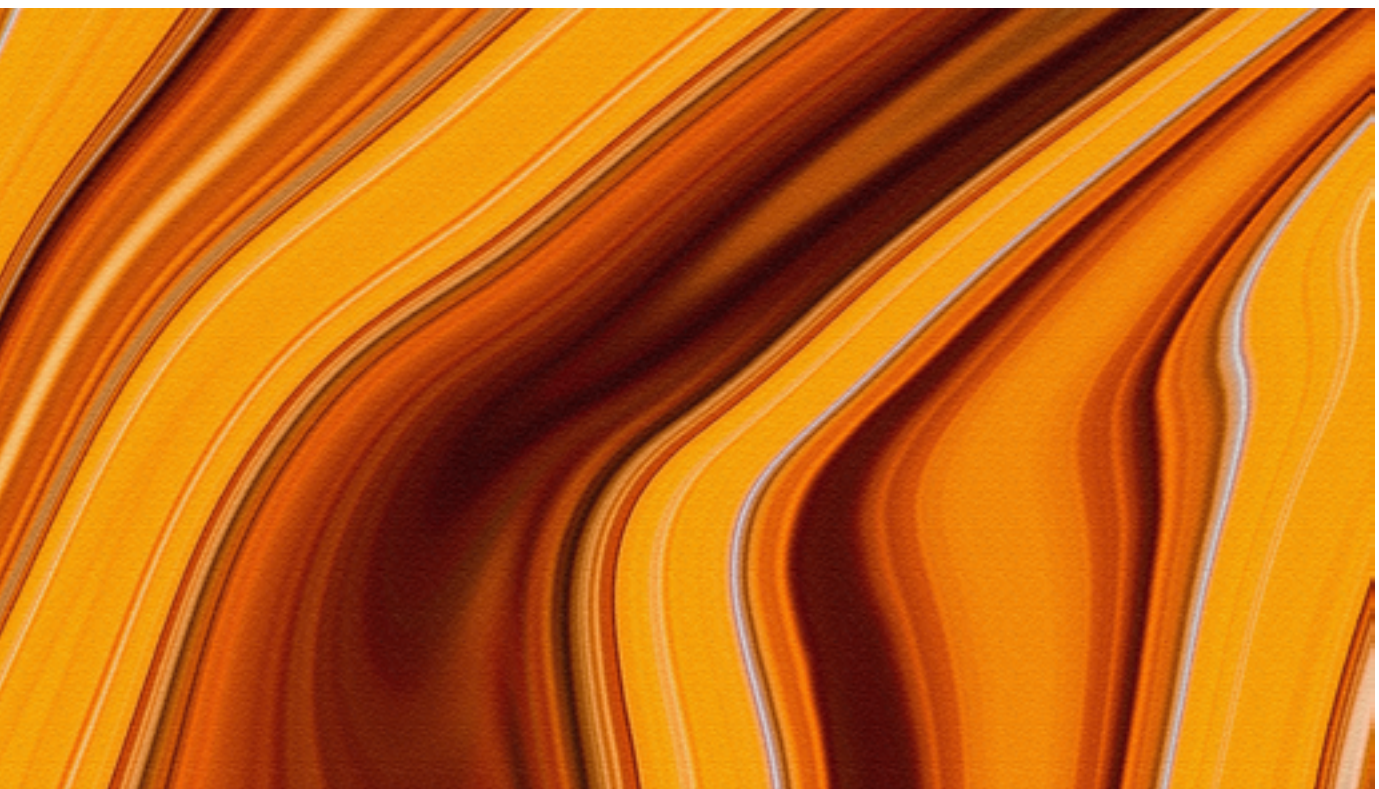

Source: Capgemini Research Institute, Consumer Demand survey, October–November 2024, N = 12,000 consumers.

**Figure 43.**
Last mile delivery services enjoy the highest loyalty among retailers




Source: Capgemini Research Institute, Consumer Demand survey, October–November 2024, N = 12,000 consumers.





# What are the key factors driving loyalty?

In the current retail landscape, consumer loyalty is heavily influenced by a blend of factors. Quick delivery is a significant factor for customer loyalty in retail stores and delivery services, while product assortment and customization are primary loyalty factors for home furnishing and apparel retailers. For electronics and specialty stores, consumers also consider AI assistance and in-store technology important loyalty factors. Among e-tailers, AI assistance is the top loyalty factor. In April 2024, Target launched Target Circle 360, a paid membership program that builds on its Target Circle loyalty program by offering unlimited free same-day delivery for orders $35 and up, along with free two-day shipping, rivaling offerings from Walmart and Amazon.[56]

**Figure 44.**
Top loyalty factors for retailers

| Retail store/e-tailer | Lower prices and discounts | Quick delivery (10 min, 2 hour) | Product assortment | Loyalty program/ membership club | Subscription service | Customer service | Product customization | Stockouts | Gen AI/AI assistant | Tech-enabled in-store experience | Seamless (omnichannel) shopping experience |
|---|---|---|---|---|---|---|---|---|---|---|---|
| Grocery store | 49%-60% | 61%-72% | 61%-72% | 61%-72% | 49%-60% | 37%-48% | <36% | 61%-72% | 49%-60% | 49%-60% | 61%-72% |
| Home furnishings/ improvement store | 49%-60% | <36% | 61%-72% | 37%-48% | <36% | 37%-48% | 49%-60% | 49%-60% | 49%-60% | 49%-60% | 49%-60% |
| Apparel/ fashion store | 37%-48% | 37%-48% | 61%-72% | 61%-72% | 61%-72% | 37%-48% | 61%-72% | 49%-60% | 61%-72% | 61%-72% | 61%-72% |
| Electronics store | 49%-60% | <36% | 61%-72% | 49%-60% | 49%-60% | 61%-72% | 49%-60% | 49%-60% | 49%-60% | 49%-60% | 49%-60% |
| Specialty store | 49%-60% | 49%-60% | 61%-72% | 49%-60% | 61%-72% | 37%-48% | 49%-60% | 49%-60% | 49%-60% | 49%-60% | 37%-48% |
| E-tailer (online only) | 61%-72% | 61%-72% | 61%-72% | 37%-48% | 61%-72% | 49%-60% | 61%-72% | 49%-60% | 61%-72% | | |
| Delivery services | 61%-72% | 61%-72% | 49%-60% | 37%-48% | 49%-60% | 61%-72% | 37%-48% | 49%-60% | 37%-48% | | |

**Note:** 61%-72% 49%-60% 37%-48% <36%

Source: Capgemini Research Institute Analysis, Consumer Demand survey, October–November 2024, N = 12,000 consumers.

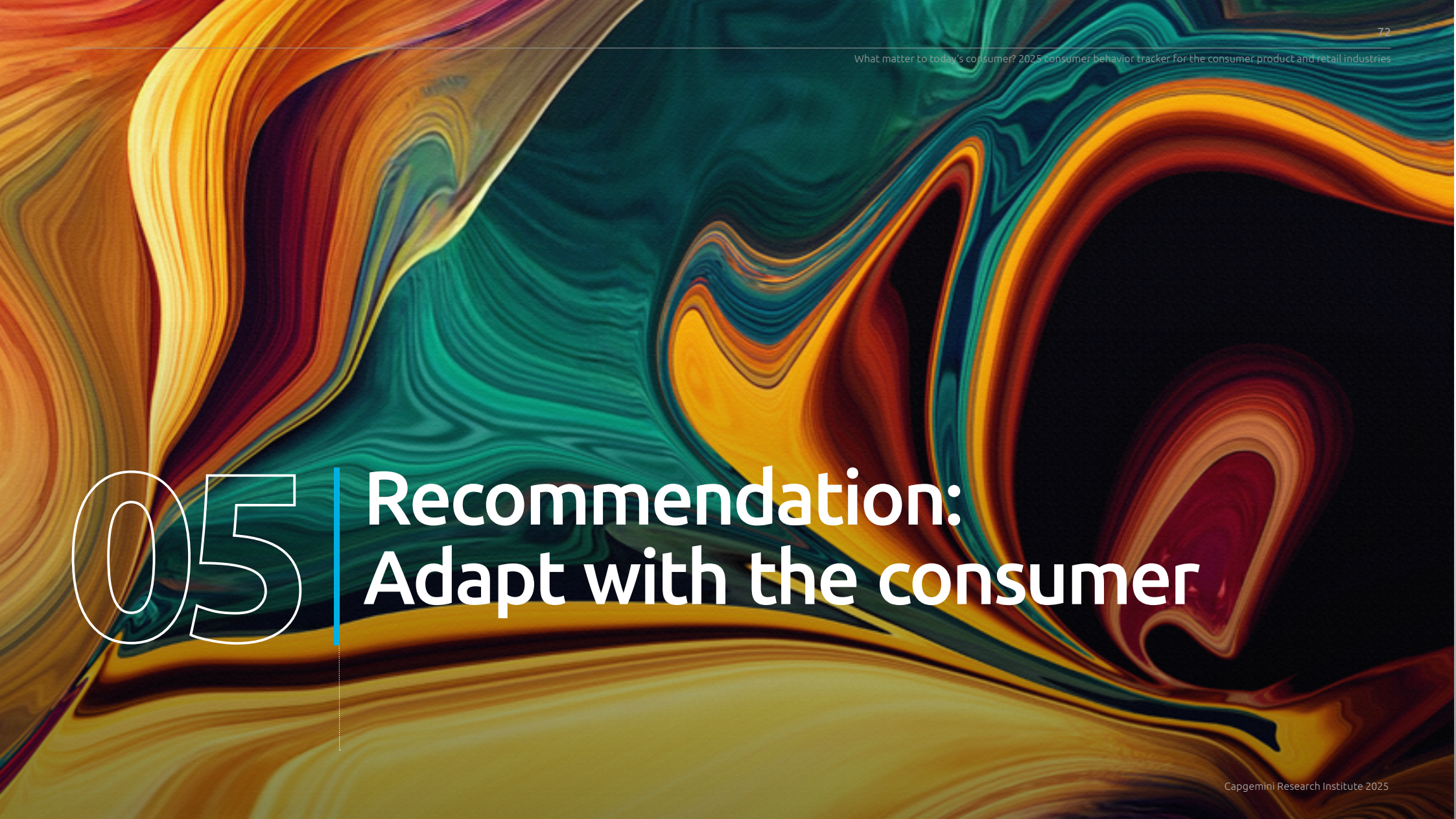
Consumers demonstrate a strong preference for brands that provide personalized experiences. AI assistance is the top factor for loyalty across multiple brand categories. Stockout is a key factor mentioned by consumers for grocery and food brands (figure 45).

**Figure 45.**
Top loyalty factors for brands

| Brands | Lower prices and discounts | Product assortment | Loyalty program/ membership club | Subscription service | Customer service | Product customization | Stockouts | Gen AI/ AI assistant |
|---|---|---|---|---|---|---|---|---|
| Groceries and food supplies | 46%-59% | 60%-72% | 46%-59% | 60%-72% | 46%-59% | 46%-59% | 60%-72% | 46%-59% |
| Meal kits | 46%-59% | 46%-59% | 46%-59% | 60%-72% | 46%-59% | 46%-59% | 46%-59% | 60%-72% |
| Household supplies | 46%-59% | 60%-72% | 33%-45% | 46%-59% | 33%-45% | 46%-59% | 60%-72% | 46%-59% |
| Personal care products | 46%-59% | 60%-72% | 46%-59% | 60%-72% | 46%-59% | 46%-59% | 60%-72% | 60%-72% |
| Health and beauty | 33%-45% | 46%-59% | 46%-59% | 60%-72% | 46%-59% | 60%-72% | 46%-59% | 60%-72% |
| Furniture and furnishings | 46%-59% | 60%-72% | 33%-45% | <32% | 60%-72% | 60%-72% | 46%-59% | 46%-59% |
| Apparel and accessories | 33%-45% | 60%-72% | 60%-72% | 60%-72% | 46%-59% | 60%-72% | 46%-59% | 60%-72% |
| Consumer electronics | 46%-59% | 46%-59% | 46%-59% | 46%-59% | 60%-72% | 46%-59% | 46%-59% | 46%-59% |
| Luxury products | <32% | 60%-72% | 60%-72% | <32% | 60%-72% | 60%-72% | 60%-72% | 60%-72% |

**Note:** 60%-72% 46%-59% 33%-45% <32%

Source: Capgemini Research Institute Analysis, Consumer Demand survey, October–November 2024, N = 12,000 consumers.



# 05 Recommendation: Adapt with the consumer

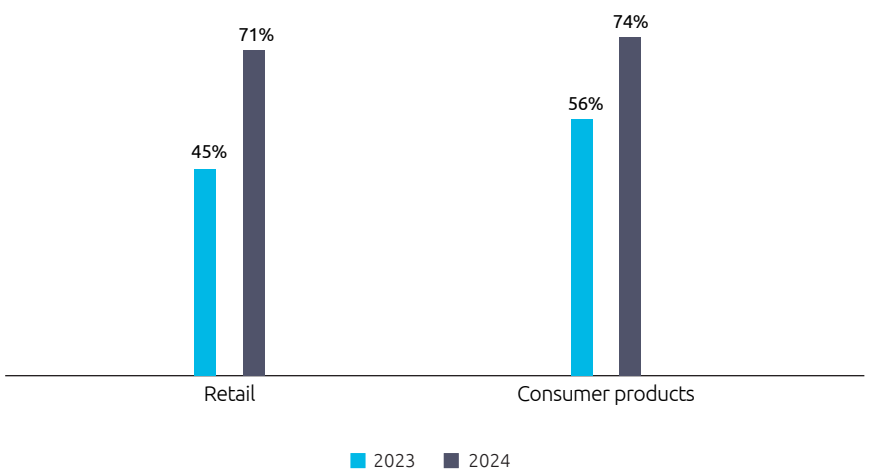
# Adapt to compete

## Augment Gen AI tools to become more consumer-centric

As many as 71% of retail organizations and 74% of consumer products organizations now view Gen AI as a transformative technology, up from 45% and 56%, respectively, last year.

**Figure 46.**
7 in 10 consumer product and retail firms view Gen AI as a transformative technology

**Generative AI as a transformative technology for driving revenue and innovation**

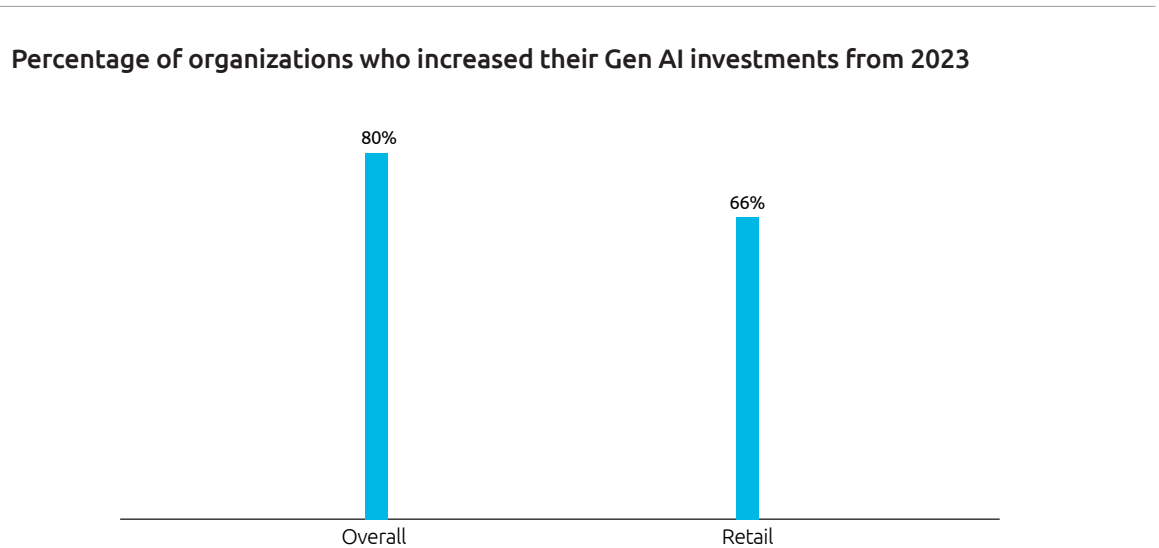



Source: Capgemini Research Institute, *Harnessing the value of generative AI 2nd edition: Top use cases across sectors*, July 2024

Although 80% of organizations across sectors have boosted their investments from last year, retail has the lowest proportion that has done so, at 66%.[57] However, some retail and consumer product firms are investing in multiple Gen AI use cases to boost customer-centricity.

- Sweden's Zara uses AI algorithms to identify patterns and predict popular styles, informing product development, inventory strategy, and marketing campaigns.[58]
- Walmart has created a Gen AI-powered Content Decision Platform to tailor a unique homepage for each individual customer. The updated website is expected to launch in the US by end-2025.[59]
- Nike is developing a Gen AI model to design products using its extensive athlete performance data. The organization showcased Athlete Imagined Revolution (AIR), a project that saw the design team create prototype shoes for 13 of Nike's top athletes. Nike's innovative use of AI and athlete data marks a significant step forward in personalized sportswear design.[60]
- Coca-Cola has launched three AI-generated ads for the 2025 holiday season. The highlight is a remake of its 1995 "The Holidays are Coming" ad, featuring Coca-Cola trucks lighting up a snowy forest and town with Christmas lights. This holiday spot was created entirely with generative AI, supported by three AI studios and several large language models.[61]

**Figure 47.**
While the investment in Gen AI is on the rise, the retail sector is still trailing behind



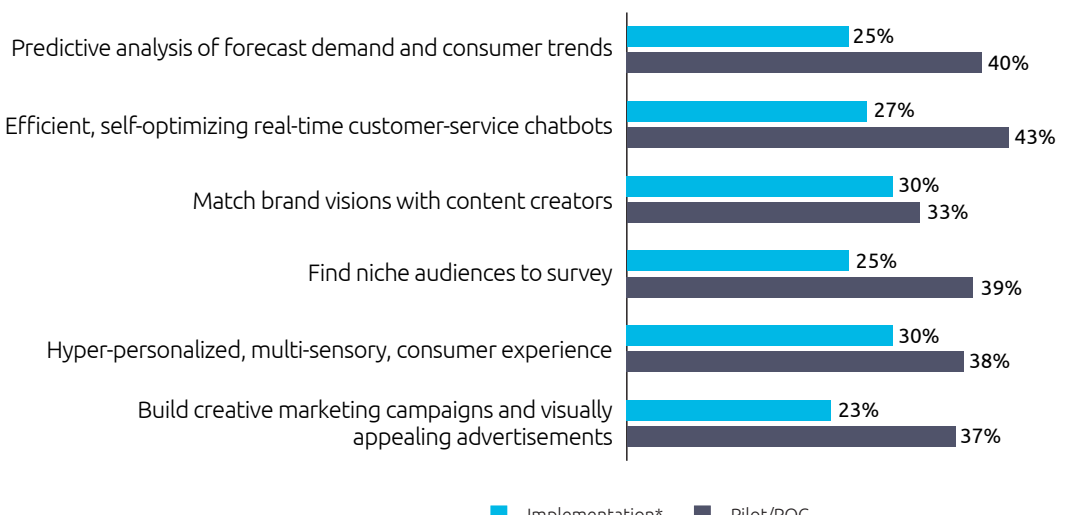

Source: Capgemini Research Institute, *Harnessing the value of generative AI 2nd edition: Top use cases across sectors*, July 2024

Consumer products and retail firms are implementing multiple Gen AI use cases this year ranging from hyper-personalized, multi-sensory consumer experience to building creative marketing campaigns. (Figure 49)

**71%**

of retail organizations now view Gen AI as a transformative technology

**Figure 48.**
Gen AI use case implementation for consumer products and retail sector




Source: Capgemini Research Institute, Gen AI executive survey, May–June 2024, N = 1,031 organizations that are at least exploring Gen AI capabilities; N varies per sector use case ranging from 50 to 189.
*"Implementation" means organizations that have partially scaled the functional use case in question

The following steps can help kickstart and augment the Gen AI implementation process:

- Form dedicated marketing teams to integrate Gen AI. Establish a clear governance framework and identify specific areas where AI can deliver significant results.
- Facilitate interdisciplinary collaboration, including your sales and IT teams, to develop tailored solutions aligned with marketing objectives.
- Invest in educating consumers on how to use Gen AI and create awareness of how consumers benefit from using Gen AI tools.
- Incorporate robust built-in safeguards and guidelines that uphold ethical AI use, ensure regulatory compliance, and mitigate biases, thereby bolstering trust and reliability in AI-driven solutions.
- Collaborating with external Gen AI experts while investing in employee training internally can be an effective strategy. Our research finds that nearly half (46%) of organizations plan to work on Gen AI with external agencies or consultancies. There is currently a Gen AI marketing talent gap, with 63% of surveyed organizations anticipating that new job roles in marketing will emerge in the next few years.[62]
- Three in five organizations acknowledge the need to improve data foundations to support Gen AI in achieving its full potential. Only 51% of data executives say that their organization has clear processes to manage siloed data and data integration across functions. Fewer than half (46%) have documented policies around sourcing, usage, access, processing, and security of data specifically for Gen AI.[63]

As we look to the future, we're on the brink of a fascinating evolution where personal AI agents become integral to our interactions. Imagine a world where your AI agent seamlessly communicates with brand AI agents, creating a hyper-contextualized experience tailored just for you (e.g., gluten-free options). This shift moves us beyond the realm of social media into a new era where AI-driven interactions take center stage.  To truly harness this potential, it's vital to to deliver transformative, consumer-centric retail experiences with:

- **Evolving AI models:** Gen AI in retail often struggles with mediocrity due to limited training data and synthetic personas, leading to low customer satisfaction, which isn't surprising from our survey results. Leverage simulation design and synthetic data to tailor personas by brand & geography to offer more personalized and geographically nuanced experiences, enhancing consumer satisfaction.
- **Anthropological insights:** Avoid conformity traps and spark human-centered creativity and innovation. Incorporate anthropological insights into AI development to create richer, culturally attuned AI personas.
- **Hyper-contextualization:** Adapt conversations dynamically based on real time context, offering personalized, relevant interactions. For example, Perplexity launched an AI-powered shopping assistant capable of researching products, providing recommendations, and completing purchases, streamlining online shopping by integrating Gen AI for personalized consumer experiences.
- **Multimodal AI:** Integrating diverse data types to enable richer, immersive shopping experiences.[64]
- **AI agents:** AI agents will offer personalized recommendations (e.g., gluten-free options) and collaborate with other agents and brands to enhance service quality.

In this exciting new landscape, the transition from SEO to GEO (Generative Engine Optimization) becomes crucial. Optimizing content for AI-driven search platforms will enhance visibility and engagement by focusing on personalization and conversational queries. Multimodal AI will enrich these experiences by integrating diverse data types, offering immersive shopping journeys. As consumer agents guide decision-making across all aspects of life, collaborating with retail agents will elevate service quality to unprecedented levels. Welcome to the future of consumer engagement—where what matters most is just a conversation away.

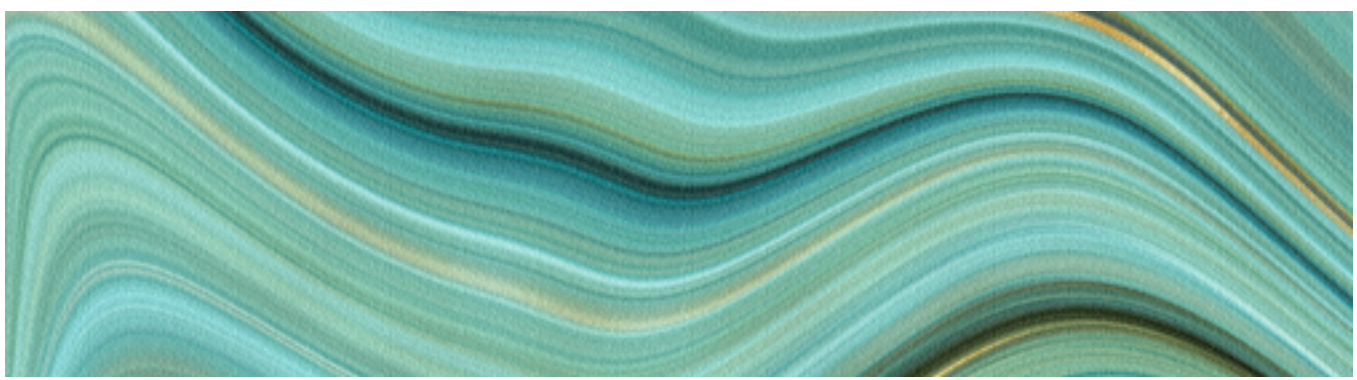
# Use technology to boost resilience and sustainability and lower prices

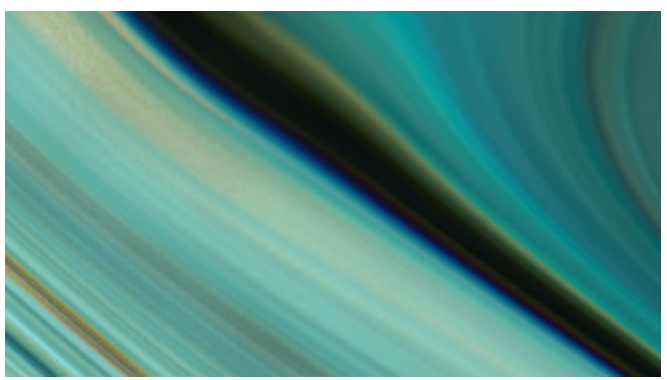
**Automation:** Brands and retailers are saving time and money by automating non-core activities, cutting non-essential products, and optimizing their product portfolios. For example:

- In August 2024, Walmart partnered with organic materials recycler Denali to implement the Zero Depack program in more than 1,400 locations and clubs. This initiative utilizes advanced de-packaging technology to efficiently separate expired and unsellable food from its packaging for recycling.[65]
- Carrefour Belgium has partnered with Swedish food waste organization Deligate to launch an AI tool to manage best-before dates at scale. The technology will allow it to track inventory in real time, anticipate changes in demand and make informed decisions to mitigate the risks involved with overstocking products (currently over 40,000 items daily).[66]

Retailers are shifting to automation-driven operations, requiring staff to adapt to advanced technologies, from AI to robotics, to remain competitive and efficient in the evolving market. As digital retail grows, brands need to invest in upskilling their workforce, focusing on data analysis, e-commerce platforms, and customer engagement tools to meet the changing demands of consumers.

**Sustainability:** Sustainability efforts lower costs by reducing/reusing/recycling waste, conserving energy and water, using QR codes to reduce the need for paper and adopting circular-economy models. Brands and retailers are also increasingly focusing on food waste. To enhance food security and reduce waste, major UK supermarkets and charities have formed a surplus food distribution body called Alliance Food Sourcing, which includes Tesco, Sainsbury's, M&S and other 15 organizations. Alliance Food Sourcing sits within the Institute of Grocery Distribution, a food industry research charity, and will oversee new ways of redistributing the 4.5 million tons of surplus food found in the UK supply chain every year.[67]

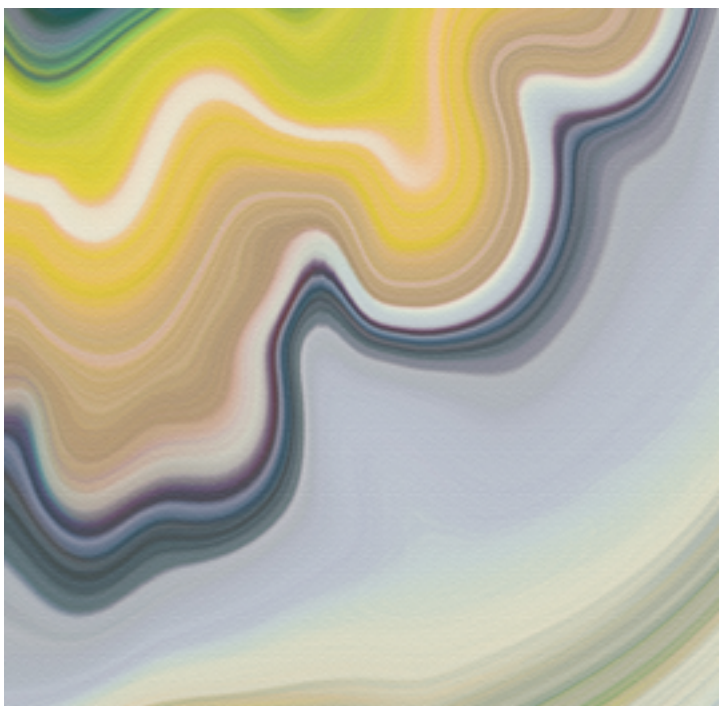




**Supply chain:** Retailers and brands are increasingly focusing on supply chain resilience by diversifying sourcing strategies, leveraging advanced technologies like AI for real-time tracking, and enhancing collaboration with suppliers to mitigate disruptions and ensure continuity.

Brands and retailers can achieve cost-efficiency and resilience by using data and analytics to enhance planning and fulfillment. Walmart opened its new high-tech perishable distribution center in Lancaster, Pennsylvania, which uses advanced robotics to process more than twice the volume of a traditional perishable facility.[68] Data and analytics can help design efficient distribution and supplier networks, identify optimal fulfillment solutions, and meet supply chain goals cost-effectively by:

- Creating a distribution network for both e-commerce and physical commerce
- Recommending profitable product mixes for different channels, locations, and consumer personas
- Optimizing routes and logistics to reduce costs and emissions and ensure timely delivery
- Planning safety stock to manage costs and customer demand. For instance, US home improvement retailer The Home Depot, opened four new distribution centers to cater to both traditional DIY customers and professionals tackling larger jobs [69]
- Supporting production decisions and resource allocation to meet customer expectations and control costs.





# Unlock channel growth

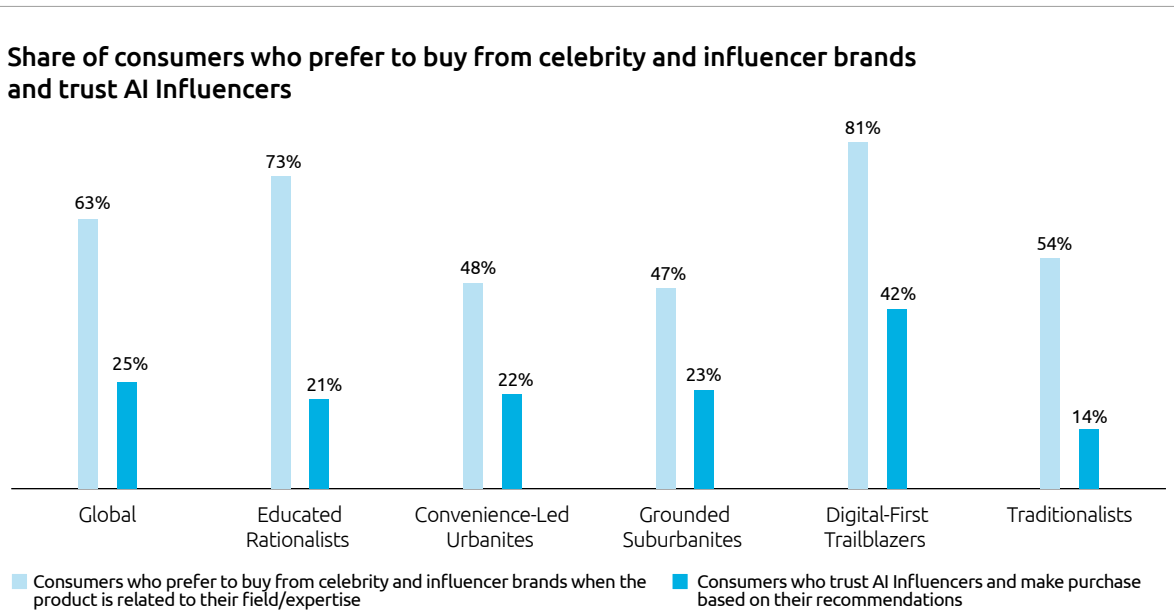
## Surprisingly, Gen AI influencers are challenging human influencers in terms of achieving high levels of consumer engagement

A recent example highlighting the influence of AI in consumer purchasing decisions is the increasing use of AI platforms such as ChatGPT for holiday shopping. Between July and September 2024, Gen AI traffic to online retailers increased tenfold,[70] indicating a significant shift in consumer behavior. Shoppers are turning to AI for tailored product recommendations and deal-finding, which poses a challenge to traditional search engines.

This trend underscores growing consumer trust in AI-driven recommendations. With Gen AI driven content brands can create AI influencers to close the gap between content consumption and commerce. The highly personalized nature of AI influencers' advice resonates with consumers. A solid 42% of the Digital-First Trailblazers cluster make purchases based on AI influencers' recommendations. Lu do Magalu is the most-followed AI influencer on Instagram, with 7.1 million followers. Designed by Brazilian retail organization Magazine Luiza, Lu do Magalu has worked with Burger King, Red Bull, Adidas, Samsung, McDonald's, and many other high-profile brands. Another popular Brazilian-US AI influencer, Lil Miquela (2.6 million Instagram followers) has also worked with luxury brands including Prada and Chanel, and currently brings in an estimated $11 million annually.[71]

A significant 63% of consumers globally, 81% of consumers in the Digital-First Trailblazers cluster, and 73% of consumers in the Educated Rationalists cluster prefer to buy from celebrity and influencer brands. It is important to note the average age for Digital-First Trailblazers clusters is 37 and Educated Rationalists, 56, respectively. However, the influence of celebrity brands is high for both these age groups. Carefully tailoring the approach to different age groups is key to unlocking the power of influencers. In North America, for example, Adidas has seen a 60%[72] year-on-year increase in visits to its Lionel Messi microsite and over a 40% rise in visits to the kids' soccer section.

**Figure 49.**
Consumer preferences for celebrity and (AI) influencers




Source: Capgemini Research Institute, Consumer Demand survey, October–November 2024, N = 12,000 consumers; Educated Rationalists cluster = 2,462 consumers; Convenience-Led Urbanites cluster = 3,556 consumers; Grounded Suburbanites cluster = 1,912 consumers; Digital-First Trailblazers cluster = 2,660 consumers; Traditionalists cluster = 1,410 consumers.

# Leverage social and retail media networks as a keyway to engage and influence early in the consumer journey

Gen AI, social media, and RMNs may not all benefit from the same approach. Our analysis shows that the Digital-First Trailblazers cluster uses Gen AI most frequently. However, most clusters pay attention to ads shown on retailer websites or apps. The Educated Rationalists and Digital-First Trailblazers clusters are social media savvy. Identifying key consumer segments as per their interactions and comfort levels with Gen AI tools, social media, and RMN is key to unlocking channel growth and utility.

The decline in satisfaction with generative AI underscores the need for retailers and brands to enhance their customer experience (CX) strategies. To adapt to new-age use cases, focus on personalized interactions, seamless omnichannel support, and engaging content. These elements will help meet the evolving expectations of customers who increasingly